

**CRITERIA FOR MAKING PAYMENTS TO NON-
EXECUTIVE DIRECTOR**

FOR ASTONEA LABS LIMITED

CIN:L24304CH2017PLC041482

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CRITERIA FOR MAKING PAYMENTS TO NON-EXECUTIVE DIRECTORS

(As required under Regulation 46(2)(f) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015)

1. PREAMBLE

This Policy outlines the framework for **remuneration, reimbursement, and benefits** payable to the Non-Executive Directors (NEDs) of **Astonea Labs Limited**, including **Independent Directors** and other Non-Executive Directors, in accordance with:

- **Companies Act, 2013** and the rules made thereunder;
- **SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 (SEBI LODR)**;
- Applicable **Accounting Standards (Ind AS)**; and
- The Company's **internal governance framework**.

The Policy ensures that payments to NEDs are:

- **Transparent:** Clear guidelines for all payments and reimbursements;
- **Fair and equitable:** Reflecting contribution, responsibility, and market practices;
- **Aligned with statutory and regulatory requirements**;
- **Linked to performance and engagement** in governance and strategic oversight; and
- **Protective of shareholder interests**, ensuring that the Company's resources are appropriately utilized.

This Policy complements the Company's **Nomination and Remuneration Policy, Code of Conduct**, and other governance practices.

2. COMPONENTS OF PAYMENT TO NON-EXECUTIVE DIRECTORS

A. Sitting Fees

- NEDs shall be entitled to **sitting fees** for attending meetings of:
 - The Board of Directors;
 - Board Committees (Audit, NRC, Risk Management, Stakeholders' Relationship, etc.);
 - Any other meetings as permitted under law.
- Sitting fees shall be determined by the **Board**, within statutory limits prescribed under **Section 197(5) of the Companies Act, 2013**.
 - **Independent Directors** and **Committee Chairpersons** may receive **higher sitting fees** to recognize:
 - Additional time commitment;
 - Leadership and oversight responsibilities; and
 - Contribution to strategic decision-making.

B. Commission

- NEDs, including Independent Directors, may receive **commission** as approved by **shareholders** under Section 197 of the Companies Act, 2013.
- Commission may be determined considering:
 - Contribution to **Board and Committee deliberations**;
 - Level of **active engagement** and **time commitment**;
 - Professional experience, expertise, and responsibility;
 - Overall **Company performance, profitability, and value creation**.
- Commission shall be **reasonable, performance-linked, and in line with market benchmarks**.

C. Reimbursement of Expenses

- NEDs shall be reimbursed for **reasonable and documented expenses** incurred in connection with:
 - Attendance at Board and Committee meetings;
 - Professional or statutory engagements undertaken in the **interest of the Company**;
 - **Travel, accommodation, meals, and other incidental expenses**.
- Reimbursement shall be subject to **submission of valid supporting documents** and compliance with the Company's **expense reimbursement policy**.

D. Professional or Consultancy Services

- If a NED provides **professional services** to the Company, such payments shall comply with:
 - **Section 197(4) of the Companies Act, 2013**;
 - **Arm's-length standards** as defined under Related Party Transaction (RPT) norms;
 - **Prior approval** of the Audit Committee and the Board.
- Services may include **advisory, technical, strategic, or legal consultancy**.

E. Stock Options / ESOPs

- **Independent Directors** are **not eligible** for stock options under Section 149(9) of the Companies Act, 2013.
- Non-Executive Directors, other than Independent Directors, may be granted **Employee Stock Options (ESOPs)** subject to:
 - **Shareholder approval**;
 - Compliance with **SEBI (ESOP) Regulations**, and
 - Limits defined under the Company's **ESOP Plan**.

F. Other Benefits

- NEDs may be provided with **additional benefits**, where approved by the Board, including:
 - Health insurance or medical coverage for Directors;
 - Reimbursement for participation in **industry conferences, workshops, or professional development programs**;
 - Other allowances or perquisites as approved by the Board.

3. FACTORS CONSIDERED WHILE DETERMINING REMUNERATION

Payments to NEDs are determined on the basis of:

- Role, duties, and level of responsibility
- Attendance and active participation in meetings
- Industry benchmarks and best practices
- Company performance and financial position
- Time spent in guiding management
- Skills and experience relevant to the Company's business

4. DISCLOSURE

- This Policy has been **approved by the Board** in compliance with **Regulation 46 of SEBI LODR**.
- The Policy shall be **displayed on the Company's website**, accessible to all stakeholders.
- Payments to NEDs including **sitting fees, commission, reimbursements, ESOPs, and other benefits** shall be disclosed in:
 - The **Annual Report**;
 - The **Corporate Governance Report**; and
 - Statutory filings, as required under **Companies Act, SEBI LODR, and other applicable regulations**.

5. REVIEW AND AMENDMENT

- The **Board of Directors**, based on the recommendation of the **Nomination and Remuneration Committee (NRC)**, may amend this Policy to:
 - Comply with **statutory or regulatory changes**;
 - Align with **best governance and market practices**; or
 - Address evolving **business or operational requirements**.
- **All amendments** shall be:
 - Approved by the Board;
 - Documented and disclosed on the **Company website**; and
 - Communicated to relevant stakeholders.

- The NRC shall **periodically review** the implementation of this Policy to ensure that payments to NEDs remain **fair, reasonable, and aligned with Company objectives**.
